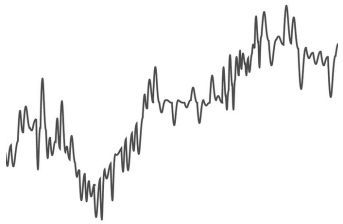
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CHAPTER III

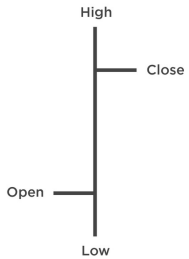
ELEMENT OF TRADING

TYPE OF CHARTS



Line Chart

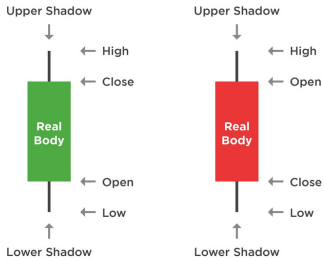
The chart is in the form of a simple line, in which the line connects from one previous closing price to the next closing price. By looking at the series of lines, we can see the general price movement of a currency pair over a period of time.



Bar Chart

It is a combinaton of all lines (vertical and horizontal) formed in one component. A bar is just a segment of time, whether it's a day, a week, or an hour. So we can combine the bar chart according to the Time Frame used..

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Candlestick Chart

Shows the same price info as the Bar Chart, but in a more perfect graphical format. The Candlestick Chart also shows the range of the highest price to the lowest price, not with a vertical line, but in the form of a rod. However, in a candlestick chart, the stem (or body) shows the range between the opening and closing prices.

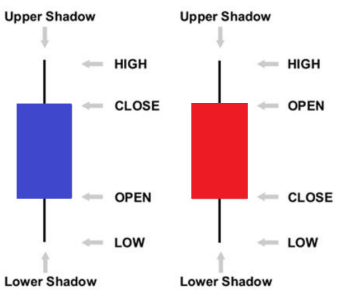
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OHLC

If CLOSE is above OPEN, it can be said that the CANDLE will be BULLISH which means the stock market is going up.

Bullish Candle can be seen with BLUE CANDLESTICK. Most platforms will use BLUE CANDLE as a sign of BULLISH MARKET but it is not always in blue. Some also use other colors. Follow what suits you best.

Also, if CLOSE is below OPEN, we can say that the CANDLE will be BEARISH which means the stock market is declining.



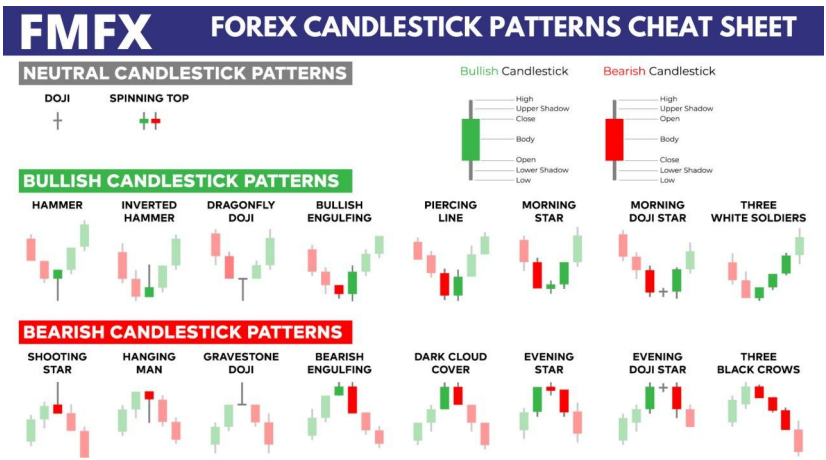
Candlesticks are shaped from "OPEN " , " HIGH " , " LOW & CLOSE " following the time frame that we use

Body length refers to STRONG BUYING or SELLING PRESSURE. If there is a candle that is CLOSE above the OPEN with a long body, it means the bottom of the BUYER is stronger and they will take over control of the Market in that time.

On the other hand if the BEARISH candle which is OPEN above CLOSE with a long body, it means SELLING PRESSURE controls the Market in that time. The short and small body, on the other hand, shows little activity of buying or selling.

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CANDLESTICK PATTERNS

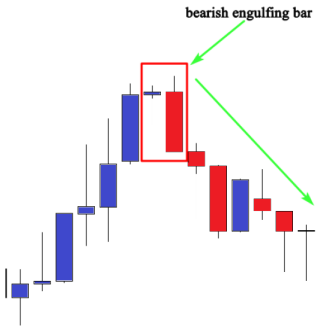


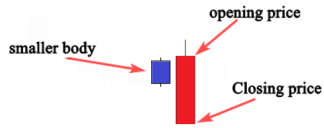
One of the most powerful trading concepts, easy to recognize and is a profitable Trading Setup.

Studies have confirmed that this PATTERN has a high predictive value. Candlestick pattern is like a language for us to understand about the market that has taken place.

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BEARISH ENGULFING





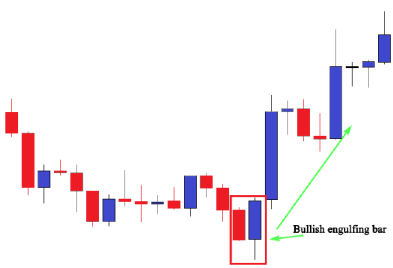
This is how the Engulfing Bar looks like on the chart. If Bearish Engulfing Bar, it tells us that the seller is controlling the market.

When this pattern occurs at the end of an uptrend, it tells us that the Buyer is swallowed or dominated by the Seller which indicates a reversal trend signal.

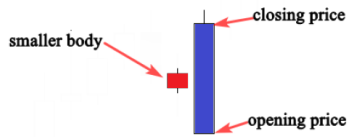
As in the picture, we can see when 'Bearish Engulfing' occurs at the end of the uptrend.

So from here we can expect that the market is a REVERSAL TREND because the buyer sell does not control the market and the seller is trying to push the market down.

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BULLISH ENGULFING



Bullish Engulfing Bar tells us the market is no longer under the control of the Seller and the Buyer will dominate the market.

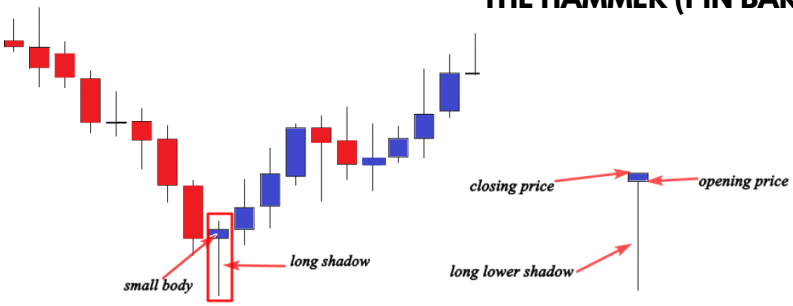
When a Bullish Engulfing candle is formed during an UPTREND, it indicates a signal continuation and when a Bullish Engulfing candle is formed during a DOWNTREND, it is very likely that a change of trend to an UPTREND can happen.

The picture above shows us how the market changed direc�on a�er the formation of the Bullish Engulfing Bar pattern.

A small body indicates selling power is protected by a second body that represents buying power.

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THE HAMMER (PIN BAR)



This pair is created when the open high and close are almost the same price.

Another feature is the long lower shadow which indicates bullish rejection from buyers and they want to push the market higher.

Hammer is a candlestick reversal that occurs at the end of a down-trend.

This candle is formed when the seller forces the market to a low price after opening but the buyer pushes the price so that the market closes higher.

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THE SHOOTING STAR (BEARISH PIN BAR)



Happens when OPEN is low and CLOSE is almost the same as OPEN.

This candle is a small body and a long upper shadow. It is the 'Bearish Hammer' version.

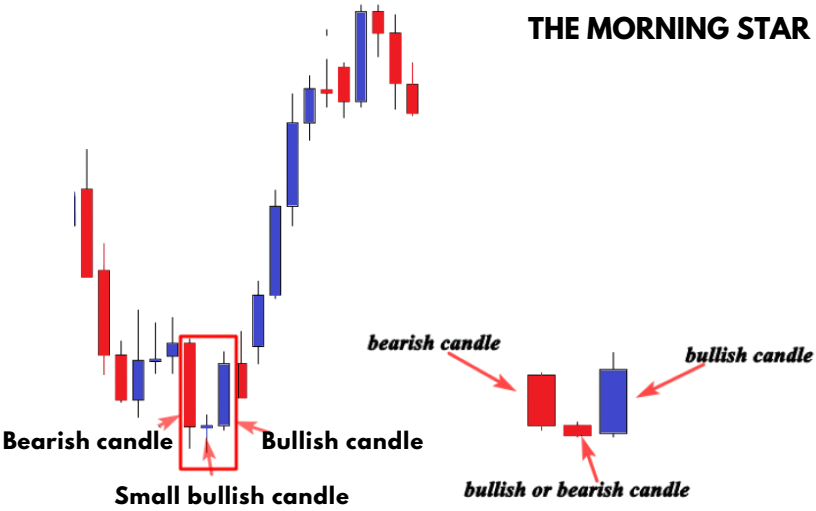
When this pair occurs in an uptrend, it indicates a 'Bearish Reversal Signal'.

The formation of this pair marks the end of the uptrend and the beginning of the downtrend.

This panel can be used with support & resistance, supply & demand.

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THE MORNING STAR



Morning Star pattern is considered a Bullish Reversal Pattern, it always happens at the bottom of the downtrend and has 3 candlesticks:

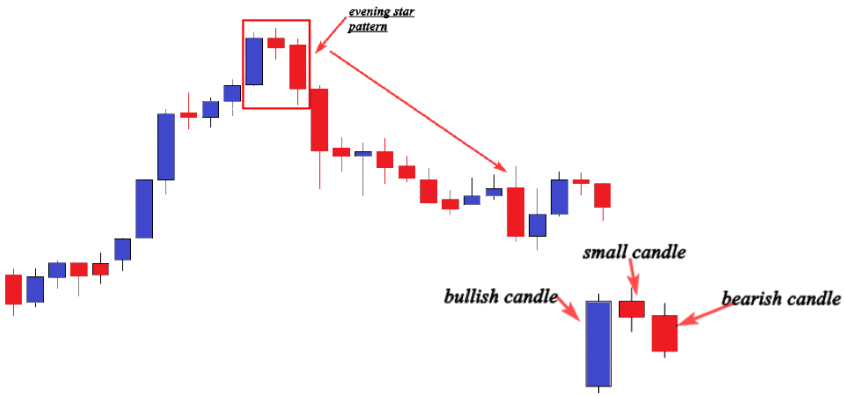
First candle is a decline that indicates that the seller is sell in the market.

A small second candle indicates the seller is in control, but they are not pushing the market down.

Third candle is a bullish candlestick that gaps up when OPEN and CLOSE above the dot/ middle price level on the first day, this candlestick gives a trend reversal signal.

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THE EVENING STAR



Considered a 'Bearish Reversal Pattern' which usually occurs above the uptrend. This pattern has 3 candlestick patterns:

First candle is a bullish candle. (Bulls are sell pushing the market higher)

Second candle is a small candle, it can be bullish, bearish, doji or other candlestick. It's uncertain. (Buyers are sell in control but they are not as powerful as they were)

Third candle is a large bearish candle. In general, this evening star pattern is a bearish version of the morning star pattern. (Buyer's domination is over, and a possible bearish trend reversal is likely to happen)

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